

Celebrities such as Toni Braxton and MC Hammer sold millions of albums, but were unable to hold onto this wealth and ended up filing for bankruptcy protection. To continue living a luxurious lifestyle usually requires a continuous resupply of money to replace the money that has been spent. This is where the problem arises. Many people only receive a one-time windfall. When the money is gone, it's gone.

It becomes very difficult to adjust back to a modest lifestyle after having had a taste of the lifestyle of the rich and famous. Would you be content going back to driving a Hyundai after you had driven a Porsche? Would you be content leaving an apartment with an ocean view to go back to a view of an alley? Would you be content staying at home and renting videos after having flown off to Paris for the weekend? Most people find it hard to scale back so instead they continue to live their enhanced lifestyle and finance it through artificial means, like borrowing.

This chapter will teach you how to hold onto money that is unexpectedly received. It will concentrate on lump sums of money instead of constant streams of anticipated money, like your regular paycheck. If you are fortunate enough to receive a “windfall,” you need to learn how to leverage this largesse so that it works for you instead of just making a pit stop in your savings account.

You will learn from the mistakes of other windfall recipients:

- Indulging in spending sprees
- Not creating a financial plan
- Investing without doing adequate research
- Not diversifying places your money is invested
- Spending to the maximum
- Engaging in risky ventures

